

short. As soon as we get a stop from the long strategy, we immediately open a short position and vice versa. No trend filter or similar is employed at this stage, so we simply follow the moving average cross-signals as they come along. The strategy is being run on daily data and always trades the day after a signal. The last part is a safeguard to prevent so-called data snooping, a common mistake of modelling strategies that trade on data that may not be available in reality at the time of the trade. If a signal is generated on a Tuesday, the strategy simulation assumes that we buy on Wednesday morning and that we get a generally bad entry price with the slippage and commission assumptions mentioned in Chapter 3.

The logic of the strategy is very simple. If the faster-moving average is above the slower-moving average, that means that the trend of the instrument is up. Since the trend is up, we buy with the assumption that if the price moves against us we will get stopped out fairly soon with a small loss, whereas if the price continues up, we have a theoretically unlimited upside.

Our second strategy attempts to enter into new trends and stay with them as long as possible. This model too has been shaken up a little since the last book. Using the same code and same logic would have been easy, but also lazy and of less value to readers of both editions. In comparison with the first edition, I will make this simple breakout demonstration a bit more long-term, by simply doubling both the breakout window and the stop window.

The rules are again very simple: if today's close is higher or equal to the highest close in the past 100 days, we buy tomorrow; if the close is below or equal to the lowest close for the past 100 days, we sell open tomorrow and go short. A similar logic is used to get out of positions, where a long trade is sold when the close reaches the lowest point in 50 days and a short trade is covered when the price makes a 50-day high (see Figure 4.2). Analytics are done on daily closing prices and trades are always taken one day after the signal.

As opposed to the moving average cross-strategy, the breakout strategy does not have to be in the market the whole time. After a position is stopped out, it can be out for some time before the next signal comes along.

■ Strategy Performance

It is important to view the performance of any strategy in the proper context. Simply looking at the compounded annual return number does not tell you much about whether the strategy is viable or not, or even whether